Contract Services Agreement

This Contract Services Agreement (this "Agreement") is made and entered into as of 10/17/2014 (the "Effective Date") between **DisCopyLabs, Inc.**with offices at 48641 Milmont Drive, Fremont, CA 94538 ("DCL") and Ploom with offices at 660 Alabama Street, 2nd Floor, San Francisco, CA 94110 ("Customer").

Whereas, Customer desires DCL as an independent contractor to provide Customer certain Fulfillment and/or Manufacturing Services in the United States with respect to Customer's Products; and

Whereas, DCL is willing to provide such services in the United States with respect to such Products to Customer, subject to the terms and conditions set forth below.

Now, therefore, for good and valuable consideration, the receipt and sufficiency of which is hereby acknowledged, the parties hereto agree as follows:

Definitions. For purposes of this Agreement, the following terms shall have the following meanings:

Consigned Materials shall mean such materials owned by Customer or supplied to DCL and in DCL's custody, which shall be used by DCL in the performance of contract services hereunder.

Finished Goods shall mean Customer's end-product, completely manufactured, assembled and packaged, in the custody of DCL and ready for delivery.

Manufactured Product(s) shall mean the products to be manufactured by DCL.

Manufacturing Services shall mean the services relating to procurement, replication, printing, manufacturing and/or assembly to be performed by DCL for Customer.

Fulfillment Services shall mean the services relating to the receipt of material, warehousing, receipt of orders, pick and pack, shipping, returns processing, electronic distribution and reporting to be performed by DCL for Customer.

Products mean the Finished Goods and the Manufactured Products.

Program(s) shall mean the computer software of the Manufactured Product(s).

Publications(s) shall mean the printed material of the Manufactured Product(s).

TERM AND TERMINATION: This Agreement shall remain in effect for two (2) years following the Effective Date and shall be renewed automatically at the end of such period for further periods of one (1) year, unless notice of cancellation in writing is sent by either party to the other no later than ninety (90) days before the expiration of the then-current term. This Agreement may be terminated by either party (a) for any reason upon ninety (90) days written notice to the other party, or (b) if the other party defaults in any payment to the terminating party and such default continues without a cure for a period of fifteen (15) days after the delivery of written notice thereof by the terminating party to the other party, or (c) if the other party defaults in the performance of any other material term or condition of this Agreement and such default continues un-remedied for a period of thirty (30) days after the delivery of written notice thereof by the terminating party to the other party or (d) the filing of a voluntary or involuntary petition

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for bankruptcy, insolvency proceeding, liquidation or assignment for the benefit of creditors by or against the other party, or the placement in the hands of a receiver, liquidator or trustee of a substantial portion of the other party's assets.

TERMINATION AND NOTICE OF SECURITY INTEREST: Customer shall pay DCL any outstanding amounts related to services performed before the effective date of termination of this Agreement. The Customer agrees to remove promptly any Inventory from DCL's premises and to pay all fulfillment and storage charges until such removal. If such Inventory is not removed by the termination date of this Agreement, DCL is empowered to have the Inventory removed at Customer's expense.

COMPENSATION: Customer shall compensate DCL for services performed according to Schedule A ("Price Schedule"). Special projects not identified on Schedule A will be quoted separately to the Customer. DCL reserves the right to increase fulfillment labor-related services if the federal or state government imposes economic changes that are out of DCL's control and increase the costs of providing services (i.e. a minimum wage increase). All invoices shall be due and payable to DCL thirty (30) days after receipt of invoice. Freight charges will be billed twice monthly. Warehouse storage charges for goods remaining longer than 120 days will be billed an amount equal to twice the price listed in Schedule A. Customer shall pay DCL a finance charge of 1.0% per month on amounts due and unpaid. DCL reserves the right to change any provision of the contract terms if the Customer's credit limit is exceeded. In the event Customer fails to make timely payment of any undisputed amounts invoiced for services hereunder, DCL shall have the right to suspend performance of any services to Customer if Customer has failed to pay such amounts within three (3) business days following notice by DCL to Customer that the amount is past due.

ORDERS: Customer shall provide DCL with a Purchase Order(s) to cover all services performed. Acceptance of orders is subject to credit approval. In the event all or any portion of an order is cancelled by Customer, Customer shall pay DCL for all costs and related obligations incurred by DCL and associated with such cancellation.

CONFIDENTIAL INFORMATION: "Confidential Information" means any data or information, oral or written, treated as confidential that relates to either party's (or, if either party is bound to protect the confidentiality of any third party's information, such third party's) past, present, or future research, development or business activities, including any unannounced products or services, any information relating to services, developments, inventions, processes, plans, financial information, forecasts, and projections and the financial terms of this Agreement, Notwithstanding the foregoing, Confidential Information shall not be deemed to include information if: (i) it was already known to the receiving party prior to the date of this Agreement; (ii) it is in or has entered the public domain through no breach of this Agreement or other wrongful act of the receiving party; (iii) it has been rightfully received by the receiving party from a third party and without breach of any obligation of confidentiality of such third party to the owner of the Confidential Information; (iv) it has been approved for release by written authorization of the owner of the Confidential Information; (v) it has been independently developed by a party without access to the Confidential Information of the other party; or (vi) it is required to be disclosed pursuant to order of a governmental agency or court of competent jurisdiction, provided that the owner of the Confidential Information has been given reasonable notice of the pendency of such an order and the opportunity to contest it.

Each party ("Receiving Party") agrees that any Confidential Information received from the other party ("Disclosing Party") (i) shall not be used except as necessary to perform the obligations required under

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this Agreement, (ii) shall be disclosed only to those of its employees as are necessary for the purposes hereunder, (iii) shall not be disclosed to third parties without the written consent of the Disclosing Party during the term of this Agreement and three (3) years thereafter, and (iv) shall be kept in safe care as it would its own, similar confidential information (which care shall not in any case be less than reasonable). Upon termination of this Agreement, and except as otherwise provided in this Agreement, each party shall promptly deliver to the other party all of the other party's Confidential Information.

FORCEMAJEURE: Except for payment obligations, in the event that either party is prevented from performing or is unable to perform any of its obligations under this Agreement (other than a payment obligation) due to any Act of God, fire, casualty, flood, earthquake, war, strike, lockout, epidemic, destruction of production facilities, riot, insurrection, material unavailability, or any other cause beyond the reasonable control of the party invoking this section, and if such party shall have used its commercially reasonable efforts to mitigate its effects, such party shall give prompt written notice to the other party, its performance shall be excused, and the time for the performance shall be extended for the period of delay or inability to perform due to such occurrences.

INSURANCE: Customer shall obtain and maintain insurance coverage on all customer-owned inventory, materials and property with reputable insurance companies. Such insurance shall be full replacement cost coverage.

WAIVER OF SUBROGATION: Customer hereby releases and relieves DCL, and waives its entire right to recover damages against DCL for loss or damage to its property arising out of or incident to the perils required to be insured against herein...

DCL'S WARRANTY: DCL warrants that its services will be performed in a manner consistent with generally accepted industry standards. This warranty shall be valid for 90 days from performance of service. Materials are warranted to the same extent that the original manufacturer warrants the materials. This express limited warranty does not apply to (a) materials consigned or supplied by Customer to DCL; (b) defects resulting from Customer's design of the Manufactured Product; (c) Manufactured Product that has been abused, damaged, altered or misused by any person or entity after title passes to Customer. Notwithstanding anything else in this Agreement, DCL assumes no liability for or obligation related to the performance, accuracy, specifications, failure to meet specifications or defects due to tooling, designs or instructions produced or supplied by Customer and Customer shall be liable for costs or expenses incurred by DCL related thereto. Upon any failure of services supplied under this Agreement to comply with the above warranty or any breach of this Agreement by DCL, DCL' s sole obligation, and Customer's sole remedy, is for DCL, at its option, to reperform the services for Customer. If DCL is unable to reperform the services as warranted or as required under this Agreement, Customer will be entitled to recover any fees paid to DCL for the unsatisfactory services.

LIMITATION OF LIABILITY: Notwithstanding any other provision of this Agreement to the contrary, in no event shall either party be liable to the other party or any third party, in either contract or tort, for any consequential, special, incidental or indirect damages, including, but not limited to, the loss of accounts, anticipated profits or goodwill, even if the party has been advised of the possibility of such damages, arising from or related to the performance or any failure to perform any of such party's obligations under this Agreement.

NO ADDITIONAL WARRANTIES: Except as expressly set forth in this Agreement, DCL hereby specifically disclaims any representations or warranties, express or implied, regarding its services, including any

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implied warranty of merchantability or fitness for a particular purpose and implied warranties arising from course or dealing or course of performance.

PATENTS, COPYRIGHTS, TRADE SECRETS, OTHER PROPRIETARY RIGHTS, PRODUCT LIABILITY: Customer represents and warrants that Customer's products are not Hazardous Materials, defined as those materials regulated under Title 49 of the Code of Federal Regulations, and International Dangerous Goods, defined as those materials regulated by the International Civil Aviation Organization and published in the International Air Transport Association Dangerous Goods Regulations.

Customer shall indemnify, defend, protect and hold DCL and its agents and employees harmless from and against any and all claims, loss, proceedings, damages, causes of action, liability, costs or expense (including attorney's fees) arising from, in connection with or relating to (i) any claim that Customer's products infringe upon any copyright, patent, trade secret, trade name, trademark, service mark, or other intellectual property right; (ii) the use or misuse of Customer's products; or (iii) a defect or claimed defect in Customer's products, any product liability, personal injury or property damage claim of any kind relating to Customer's products.; (iv) or any claim that Customer's products fail to comply with any governmental, regulatory, judicial or municipal law, rule, regulation, decision, order, directive, ordinance or ruling of any kind.

RISK OF LOSS; SHRINKAGE: All risk of loss and damage to Customer's products from any cause prior to receipt by DCL into, and from and after the removal by common carrier from, the inventory at DCL's facility will be borne by Customer (or its customer, if applicable). DCL shall conduct inbound inspection on all Customer products they receive. DCL will make best efforts to identify loss or damage during inbound inspections. Any damage DCL identifies shall be documented in writing and, where possible, with pictures and such documentation shall be provided to Customer on a timely basis. Similarly, if loss or damage occurs while inventory is in DCL's possession or is in transit to where DCL has arranged delivery on Customer's behalf with one of their freight suppliers, DCL will document such loss in writing and with pictures and provide documentation to Customer on a timely basis. DCL will assist Customer in investigating missing or lost products in transit. DCL will also file loss claims with their freight suppliers on Customer's behalf. DCL will make reasonable efforts to take reasonable care of the Customer's product inventory while in DCL's possession. If more than one percent (1.0%) of Customer's "A" products received by DCL during the previous twelve month period are lost, stolen, and/or damaged, DCL shall reimburse or credit Customer for the cost of Customer's lost, stolen and/or damaged products in excess of this one percent (1.0%) amount. "A" products are defined as core products with a minimum cost of $25 and that have been 100% checked upon receipt to verify incoming inventory. Ploom or assignees have the right to inspect Ploom inventory with written 24 hour notice.

OTHER:

Governing Law. This Agreement shall be governed and construed in accordance with the laws of the State of California, USA.

Attorney's Fees. Should litigation occur between the parties, all reasonable litigation expenses, collection expenses, witness fees, court costs, and attorney's fees shall be paid by the non-prevailing party to the prevailing party.

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Taxes. All taxes and assessments levied by any governmental authority are the responsibility of Customer. All amounts due for taxes and assessments will be added to Customer's invoice including appropriate sales tax unless DCL is provided with a valid California Resale Certificate.

Attachment A: Fulfillment Terms and Conditions is hereby incorporated and made a part of this agreement.

Attachment B: Manufacturing Terms and Conditions is hereby incorporated and made a part of this agreement.

Schedule A: Price Schedule: 10/17/2014 is hereby incorporated and made a part of this Agreement.

Entire Agreement This Agreement, including all Attachments and Schedules hereto, constitutes the entire agreement and understanding of the parties with respect to the subject matter hereof, and supersedes any prior or contemporaneous discussions, negotiations, or agreements relating to the subject matter hereof.

Signatures of Agreement

DisCopyLabs, Inc ("DCL")	Ploom
By: *Victoria Maddux*	By: Paul Norman
Title: VP of Sales	Title: V.P. - Global Supply Chain
Date: 10/17/2014	Date: 10.20.14

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ATTACHMENT A: Fulfillment Terms and Conditions

Mis-Shipment Limitation of Remedies

The term mis-shipment is defined as product that is undeliverable due to errors or omissions of DCL while processing a fulfillment order. Product mis-shipments include in-correct product quantity, shipping the incorrect SKU (Stock Keeping Unit) or product shipped to an incorrect destination. In the event of a mis-shipment, DCL shall, as customer's sole remedy, pay for the associated shipping charges at the original carrier service level to correct the order by reshipping the product (s) and for the return of product (s). Customer will promptly notify DCL in writing of any mis-shipment. Customer's written notification of the shipping error will include all the necessary information about the mis-shipment. Failure to provide the mis-shipment notice and information will relieve DCL of any further responsibility.

Carrier Lost or Damaged Goods Limitation of Remedies

DCL will give the customer as its sole remedy, the same terms and conditions given to DCL by the shipping carriers for lost or damaged products. For example, if the product was shipped by Federal Express and lost or damaged, the customer will receive the same remedy provided to DCL by Federal Express. Terms and Conditions that pertain to loss or damage of customer goods can be obtained from the carrier guidebook.

Carrier Fuel Surcharge

DCL reserves the right to institute a fuel surcharge on all shipments that are processed using the DCL carrier account. The surcharge will be applied without prior notice for the same periods that the DCL carriers apply such charges.

Export

Customer is solely responsible for compliance with all applicable laws, rulings or regulations regarding the export or re-export of Customer's goods or products. Customer shall secure and pay for all necessary export licenses and provide DCL with all relevant information and copies of relevant documentation. Customer shall be the shipper (U.S. Principal Party in Interest) for shipments from DCL's country of manufacture to other locations and DCL shall be acting as the Customer's forwarding agent solely for the purpose of export. Customer authorizes DCL to prepare Shipper's Export Declarations, sign air bills and invoices on behalf of the Customer, using information provided by the Customer.

Customer shall indemnify, defend, protect and hold DCL harmless from and against any and all claims, loss, proceedings, damages, causes of action, liability, cost or expense (including attorney's fees) arising from or in connection with or caused by any violation or infraction of applicable laws, ordinances, rules, regulations and orders of public authorities regarding the export or re-export of Customer's goods or products. Customer warrants that it will not ship to persons or entities on the U.S. Treasury Department's list of Specially Designated Nationals and Blocked Persons, the Bureau of Industry and Security (BIS) Denied Persons List, the BIS Unverified List, the BIS Entity List and the Office of Defense Trade Controls Debarred Parties List. DCL will assume no liability for any loss or expense including but not limited to fines and penalties due to Customer's failure to comply with export laws, rules or regulations.

EDI and Routing Guides Responsibilities

If the Customer uses a third party as an intermediary to a Trading Partner ("TP") to provide EDI and/or Routing services, it is the Customer's responsibility to obtain the specifications necessary from the third party and transmit these to DCL.

Account Set-Up

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The Customer is responsible for initially meeting with the TP to review all EDI and ROUTING GUIDES specifications that will be required to support their business needs. For example, the TP will identify what EDI documents need to be set up (i.e. PO, Invoice, PO Change, ASN, etc) and what ROUTING GUIDE specifications are to be followed in order to conduct business. The TP will also provide details on their Web tool that can be used for information retrieval including the login procedure and password to be used for access.

Upon obtaining this account set-up information, the Customer should transmit it to DCL. DCL will then proceed with account set-up using this information. After DCL has completed the account set-up, the Customer will confirm with the TP that the set-up was successful, obtain approval to move into production, and then notify DCL of this via email.

Implementation

EDI implementation time for a new TP or document is 4 to 6 weeks after receipt of Customer's purchase order. This consists of approximately 4 weeks for test and 2 weeks for production environment development. This timeframe is dependent upon the TP's commitment and availability to work with DCL in a test environment and resolve issues to obtain production status. Routing Guides can typically be implemented within 10 business days.

Charge Back Procedures

EDI charge backs may be applied by the TP when an invoice or ASN does not contain the correct information, or does not match the PO or shipment. This discrepancy in an EDI document can be caused by missing or incorrect UPC codes, line items, store numbers, etc. ROUTING GUIDE charge backs can be applied by the TP for non-compliance with the TP's shipping instructions. It is the Customer's responsibility to email the DCL Account Manager within 24 hours of being notified of any violation from the TP to allow DCL to investigate, correct or document the incident if needed to avoid a charge back.

If Customer notification to DCL exceeds 24 hours from their notification by the TP or is more than 30 days from the original shipment, DCL is not liable for any chargeback. DCL will only assume chargeback responsibility if proper notification is given by the Customer and appropriate action to correct the document was not taken by DCL. Where DCL is determined to be responsible for the chargeback, DCL's maximum liability is $150.00 per incidence.

Manual Transactions

Any manual transactions required by DCL for the support of EDI and/or ROUTING GUIDES documents will incur a $5/transaction charge.

Purchase Order Management (850,860)

The Customer is responsible for the management of all Purchase Orders with the TP. This includes insuring that they are:

1. Operating under a valid PO and one that has not expired outside the ship date requirement.
2. Maintaining sufficient inventory to satisfy shipping orders complete.
3. Changing dates and quantities with the TP if inventory is not available.
4. Providing DCL in writing with any request to ship partials.
5. Providing DCL with any ROUTING GUIDE changes received from the TP.

DCL is not liable for charge backs related to the customer's failure to manage POs with the TP.

PO Change (860)

If a PO change (860) is received, the DCL Account Manager will advise the Customer of the PO change request received from the TP and the Customer is expected to validate and confirm the PO change prior to DCL processing the request. A non-conforming charge of $30.00 will be charged to update the system, check inventory, reprint ASN labels, and reschedule freight carriers. If the PO change impacts any change in the discount rate being offered to the

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customer, the Customer is responsible for notifying DCL in writing of the discount change. DCL 's IT department will then make the necessary change(s) to the original 810 and verify the changes before sending it to the TP. The non-conforming $30.00 charge includes required IT changes. The customer is responsible for insuring that they are operating under a valid PO, that is one that has not expired outside the ship date requirement.

Invoice (810)

An EDI invoice (810) will be generated and transmitted to the TP when the order is "shipped complete" or "shipped partial with no discount". If there is a discount, the EDI invoice is generated when the order is fully shipped.

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ATTACHMENT B: Manufacturing Terms and Conditions

Grant of License

Customer hereby grants to DCL a royalty-free, non-exclusive and nontransferable license to reproduce and manufacture in the United States the Manufactured Product(s) and the Program(s) and Publication(s) components thereof, and to distribute world wide the Manufactured Product(s) and the Program(s) and Publication(s) components thereof solely to or to the order of Customer. Such license shall extend to, and be deemed to include, any updated versions of same produced after the date of this Agreement.

Customer Specifications

Any and all written information supplied to DCL by Customer is assumed correct and usable, and Customer will promptly notify DCL of any changes in writing. It is Customer's responsibility to maintain copies of original file or masters. DCL shall not be liable to Customer for any loss or damages to media supplied by Customer or for the accuracy of furnished input or final input. Any additional translating, editing, or programming needed to utilize Customer-supplied files will be charged at DCL's prevailing rates.

Turnkey Material Services

DCL will purchase turnkey components or services on behalf of Customer based upon written Customer approval. All purchases as requested or authorized by Customer, are chargeable to Customer. Customer will be invoiced for turnkey components used in manufacturing at the time the components have been manufactured into Finished Goods. Should Customer cancel or change the turnkey order after DCL has placed an order with vendor, charges for work performed or instituting changes will apply at DCL's prevailing rates.

Customer agrees to review all turnkey inventories on a monthly basis and to purchase all over 60-day turnkey inventory or obsolete components. Over 60-day inventory shall mean those inventory items that were purchased by DCL and have been in inventory 60 or more days. Customer purchased components will be converted into Consigned Materials and cost-averaged into the material cost. DCL reserves the right to automatically bill a monthly 1% carrying charge on the over 60-day turnkey inventory if a purchase order is not issued within 10 days after notification.

DCL shall insure, at its cost, the replacement value of the components purchased by DCL of any Turnkey Manufactured Product (s) while in DCL's possession.

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SCHEDULE A: Price Schedule 10/17/2014

Order Handling and Fulfillment

Order Processing:	Price	UOM
B2C Electronic Order	$1.40	order
B2B Electronic Order	$3.00	order
Manual Order	$5.00	order
BackOrder Management	$5.00	per order
Rush Order (if after daily shipping cutoff)	$15.00	occurrence
Order Intervention (re-prioritization, non-conforming, cancelled lines/orders, special instructions)	$5.00	occurrence

Pick Charges:		
Individual Pick (reasonable size - pick with one hand)	$0.35	pick
Master Carton Picks	$0.90	case
Pallet Pick (single SKU)	$11.00	pallet
Mixed Pallet (mixed SKU)	$25.00	pallet
Literature (brochures, leaflets, manual, gift card)	$0.15	each

Other Fulfillment Charges:		
Serial Number Capture (product or gift card)	$0.10	each
International Order: Commercial Invoice	$3.00	each
International Order: NAFTA, SLI	$10.00	each
Bill of Lading	$3.00	each
Certificate of Origin	$20.00	each
Recall Shipped Order (while in transit) or Call Tag (delivered)	$25.00	each
Return Shipping Label (Print and Insert)	$0.25	each

Business to Business Fulfillment Specific Charges

Order Consolidation (multiple orders consolidated to one)	$10.00	pallet
Special Instructions/Handling such as packing slips, specific routing, etc.	$5.00	order
ASN Master Carton Labels (materials and application)	$0.50	each

EDI Directly with Retailer

Retailer Setup	waived	retailer
Monthly Retailer Fee	$50.00	retailer/month
EDI Document Fee	$.10	document
Transaction Fee (manual entries into 3rd party EDI portal)	$5.00	transaction
3rd Party Integrator Connection (Covalent, B2B, True Source etc.)	$300	one time fee

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Warehousing and Receiving		
Pallet Warehouse Storage:	$11.00	pallet/month
Receiving Charges:		
Receiving Pallet (same SKU)	$11.00	pallet
Receiving Case (same SKU)	$0.90	case
Non-conforming Receipt (mixed Items/case, missing packing slip, etc.)	$35.00	hour
Devanning for Floor Loaded Product (not including pallets):		
Devanning 20' Container	$300	container
Devanning 40' Container	$500	container
Devanning 40' Hi-Cube Container	$575	container
Reverse Logistics		
ReturnTrak RMA Processing (single unit receipt & RTS)	$3.00	SKU
non-ReturnTrak RMA Processing	$5.00	SKU
Undeliverable Processing	$5.00	undeliverable
B2B RMA Processing (multiple units)	$35.00	man hour
Customer Disposition (e.g. testing, sorting)	$35.00	man hour
Information Technology		
IT Setup and Implementation	$1,500	one-time
eFactory - Web-based Reporting System (first license at no charge)	$125	month/license
ReturnTrak - RMA Module (first license at no charge)	$125	month/license
Other		
Monthly Minimum Billing (includes all billing including freight)	$5,000	month
Account Management Fee	$500	month
IT hourly Fee (Project based only)	$150	hour
Project Management Rate (Project based only)	$75.00	hour
Shop Floor Rate (Project based only)	$35.00	hour
Regular Overtime – Fulfillment Line	$500	line/shift
Holiday Overtime – Fulfillment Line	$750	line/shift

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Packaging Materials Price Schedule

Stock Packaging Materials[1]

Barcode Labels (materials and application)	$0.25	each
Large Envelope	$0.79	each
Small Box (< 500 cubic inches)	$0.55	each
Medium Box (500 – 2,000)	$0.82	each
Large Box (2,000 – 3,500)	$1.37	each
X-Large Box (3,500 – 5,000)	$2.10	each
Titanic Box (5,000 – 6,500)	$2.89	each
Custom Boxes	Per Quote	
Standard Pallets	$10.00	each
Grade "A" Pallets	$21.00	each
Plastic Pallets	$26.25	each

[1] Material prices are subject to change with 30 day notice based on possible supplier price changes

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Freight Price Schedule

Benefits of Using DCL Freight Account

- Substantial discounts off carrier book rates
- Customer service for all carrier calls with regard to correct delivery of the order
- Tracking and application of carrier delivery credits for late delivery
- Receipt of undeliverable packages for customer disposition
- Easy customer reconciliation as freight charges are linked to each order
- eFactory freight reports showing freight charges by order and by carrier service
- Monthly freight service billing as opposed to weekly billing by carrier

Freight Services and Discounts[2]

Listed below are the DCL package delivery services offered and the discount from the list rate.

Service Level [3]	Delivery By	Discount from Book
Priority Overnight	10:30 am next business day	50%
Standard Overnight	End of next business day	50%
2-Day	End of 2nd business day	50%
3-Day	End of 3rd business day	40%
International Priority	Within 1-3 days	50%
International Economy	Within 2-5 days	50%
Ground Commercial	Within 1-5 days	20%
Ground Residential	Within 1-5 days	18%
USPS (Domestic or International)	Varies	Cost + 18%
UPS Mail Innovations	Varies	5%
UPS Surepost	Varies	10%
LTL shipments	Dependent upon destination	60%

For current carrier list rate schedules see www.fedex.com and www.ups.com.

Additional Charges

Additional freight charges above the standard transportation charges include: fuel surcharges, address corrections, insurance, residential delivery, out-of-area delivery and dimensional weight. These charges will be added to the standard transportation charge. The corresponding service level discount will be applied to the list fuel service charge. No discount is applied for other additional charges.

DCL Preferred Carriers

DCL reserves the right to substitute carriers on shipments while maintaining equivalent service and price.

Billing Frequency Freight is billed monthly.

[2] Freight discounts are subject to change upon sixty (60) days written notice

[3] For each shipment and level of service, a minimum charge is established by DCL

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Additional Information

1. This service agreement pricing is based on the collective revenue for both fulfillment services and freight. If freight is not on DCL's account, fulfillment pricing will be re-evaluated.

2. This quote is subject to DCL's Terms of Agreement.

3. Quote is valid for 60 days upon receipt.

4. Standard implementation takes between 4 – 6 weeks depending on scope and availability of integration and IT resources.

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